Note 10. Income Taxes

The income tax provision contains the following components (in thousands):

	December 31,	
	2014	2013
Current		
Federal	$ 84	$ 73
State	111	397
Foreign	98	-
Total current	293	470
Deferred		
Federal	$ (4,106)	$ (16)
State	(558)	(2)
Foreign	-	-
Total deferred	(4,664)	(18)
Total	$ (4,371)	$ 452

Income (loss) before income taxes relating to non-U.S. operations were $418,000 and $(5,000) in the years ended December 31, 2014 and 2013, respectively.

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The provision for income taxes differs from the amount of income tax determined by applying the applicable U.S. statutory federal income tax rate to pretax income (loss) as a result of the following differences:

	December 31,	
	2014	2013
Federal statutory rate	$ 350	$ 1,086
Adjustments for tax effects of:		
Foreign rate differential	(30)	(2)
State taxes, net	(267)	207
Other nondeductible items	222	241
Rate change	(21)	210
Deferred tax asset adjustment	(412)	319
Change in valuation allowance	(4,213)	(1,609)
	$ (4,371)	$ 452

Significant components of the Company's deferred tax assets and liabilities are as follows (in thousands):

	December 31,	
	2014	2013
Deferred tax assets:		
Amortizable assets	$ 1,640	$ 704
Inventory	493	270
Accruals and reserves	499	180
Stock options	167	82
Net operating loss carry-forward	3,112	4,610
Credit carry-forward	731	214
Total Deferred Tax Asset	6,642	6,060
Deferred tax liabilities:		
Indefinite lived intangibles	(753)	(723)
Prepaids	(190)	-
Other	(397)	-
Depreciable assets	195	(291)
	(1,145)	(1,014)
Net deferred tax asset	5,497	5,046
Less valuation allowance	(1,556)	(5,769)
Net deferred tax liabilities	$ 3,941	$ (723)

The Company has determined through consideration of all positive and negative evidence that the US deferred tax assets are more likely than not to be realized. Therefore, the Company has reversed the valuation allowance in the US Federal tax jurisdiction. A valuation allowance remains on the state and foreign tax attributes that are likely to expire before realization. The change in valuation allowance decreased approximately $4,213,000 for the year ended December 31, 2014 and decreased approximately $1,609,000 for the year ended December 31, 2013.

At December 31, 2014, the Company had approximately $5,200,000 in federal net operating loss carryforwards, which begin to expire in 2026, and approximately $19,586,000 in net operating loss carryforwards from various states. The Company had approximately $1,635,000 in net operating losses in foreign jurisdictions.

Pursuant to Internal Revenue Code ("IRC") Section 382, use of net operating loss and credit carryforwards may be limited if the Company experienced a cumulative change in ownership of greater than 50% in a moving three-year period. Ownership changes could impact the Company's ability to utilize the net operating loss and credit carryforwards remaining at an ownership change date. The Company has not completed a Section 382 study.

The Company has analyzed the impact of repatriating earnings from its foreign subsidiaries and has determined that the impact is immaterial.

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The Company has accounted for uncertain tax position related to states. The Company accounts for interest expense and penalties related to income tax issues as income tax expense. Accordingly, interest expense and penalties associated with an uncertain tax position are included in the income tax provision. The total amount of accrued interest and penalties as of December 31, 2014 are approximately $2,000. Income tax expense as of December 31, 2014, included an increase in state income tax expense of approximately $7,000 related to uncertain tax positions.